1.13 Differences between Auditing and Investigation

The point of difference between auditing and investigation can be explained as follows:





S. No.	Basis of Difference	Auditing	Investigation
1	Meaning	Auditing is concerned with examining the accounts and reporting on financial statements.	Investigation is the examination of accounts of a business for special purpose.
2	Objective	The objective of Auditing is to express an opinion on the financial statements of the concern.	Investigation is done for some specific purpose.
3	Compulsion	It is compulsory in case of Joint stock companies.	It is not compulsory
4	Period	Auditing is done at the end of the financial year.	Investigation can be done over a period of years.
5	Conduct	Audit is conducted on behalf of the owners of the company	Investigation is conducted on behalf of outsiders and owners at some times.
6	Scope	It is has a narrow scope	It has a wide scope
7	Appointment	An auditor is appointed by the shareholders or directors or by Government.	An investigator is appointed by the outsider.
8	Report	Auditor has to give a report about the true and fair view of the final accounts.	The Investigator gives a report on the basis of conclusion and enquiries. Expression of the opinion is not necessary.
9	Qualification	Only Chartered Accountants are qualified to conduct audit of companies.	An investigation need not be conducted by a Chartered Accountant.
10	Process of Work	Investigated accounts are not audited in ordinary course.	Generally audited books of accounts are taken up for investigation.

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